Daily AI, Crypto & Tech Power Briefing

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AI Funding Shifts From a Compute Race to a Cost-of-Capital Test as Regulated Perpetuals Reach Equities

The AI buildout is becoming a financing and infrastructure-management story. Meta has raised fresh equity and convertible capital around a very large data-center plan, while Google is pairing a major Malaysia commitment with energy and water promises. The market is asking not only who can build more compute, but who can fund it without losing strategic flexibility.

In digital assets, two developments show how crypto market mechanics are entering more conventional finance. US regulators have opened a path for perpetual futures on individual equities, and Circle's results show how stablecoin issuers must manage interest-rate sensitivity, distribution costs and onchain payment volumes at the same time.

1. Meta uses equity and convertible capital to widen the funding base for its AI buildout

Meta Investor Relations · October 26, 2026
Meta Announces Launch of Offering of Depositary Shares and Class A Common Stock

The story

Meta announced concurrent offerings of mandatory convertible preferred-stock depositary shares and $22.5 billion of Class A shares through forward-sale agreements. It also outlined a future at-the-market program of up to $60 billion in Class C stock, subject to conditions. Meta says it expects 2026 capital expenditure of $135 billion to $145 billion as it expands data centers and compute capacity for its AI plans.

The company says the financing mix will include operating cash flow, investment-grade debt, strategic partnerships and equity capital. The forward-sale structure means Meta expects to receive cash when it later settles the agreements, rather than at the initial sale by the forward purchasers. That timing matters when interpreting the headline fundraising number.

Why it matters

The key AI competition is increasingly a cost-of-capital competition. Raising equity can preserve debt capacity and diversify funding, but it can also dilute shareholders. Convertible securities can lower an issuer's immediate coupon cost while creating a future equity-conversion question.

For investors, the relevant test is whether incremental compute produces durable revenue, operating leverage or strategic advantage before financing costs and depreciation absorb the benefit. Capital expenditure is not a result by itself; it is a claim on future cash flows.

What to watch

- Final pricing and settlement timing for the offerings, and whether the new Class C structure changes dilution expectations.
- The relationship between Meta's capital expenditure, free cash flow and its AI-driven advertising or enterprise revenue.
- Whether other hyperscalers increase use of equity-like capital as data-center commitments grow.

2. Google's $15 billion Malaysia plan makes local energy, water and delivery commitments part of the AI infrastructure pitch

Google Cloud Press Corner · November 4, 2026
Google Announces Digital Infrastructure Expansion in Malaysia

The story

Google announced a $15 billion investment plan for Malaysia that it says will expand digital infrastructure and support local jobs, water replenishment, clean energy and skills programs. The announcement ties data-center capacity to local resource commitments rather than presenting compute as a stand-alone construction project.

The details that determine the economic impact will sit below the headline figure: construction schedules, grid connections, electricity contracts, water use, local suppliers and the services ultimately delivered from the facilities. Those are also the factors that can turn a stated investment into a delayed or more expensive project.

Why it matters

AI infrastructure is moving from a chip procurement problem to a multi-party delivery problem. Utilities, regulators, communities and construction suppliers can each become a supply-chain bottleneck. Large providers now need social and operating permission as well as land and servers.

For Malaysia, the opportunity is broader than the initial capital spend if local firms can capture cloud demand, skills development and downstream software work. The risk is that grid and water costs are socialized while the most valuable workloads and profits remain elsewhere.

What to watch

- Specific data-center locations, commissioning dates and contracted power capacity.
- The enforceability and measurement of the announced clean-energy and water-replenishment commitments.

- Whether local enterprises and public institutions gain durable access to the compute and AI services being built.

3. US-regulated equity perpetual futures extend a crypto-native trading mechanism into individual stocks

U.S. Commodity Futures Trading Commission · November 3, 2026
Statement on Equity Perpetual Futures

The story

The Commodity Futures Trading Commission said perpetual futures on individual equity securities could begin trading on CFTC-registered exchanges on November 3. The agency described the products as an extension of an instrument already used in digital-commodity markets, following earlier US-regulated bitcoin perpetual futures.

A perpetual future has no fixed expiry date. Instead of settling at a standard maturity, it generally uses a periodic funding mechanism intended to keep the contract price close to the underlying market. Product rules, leverage, margin, funding calculations and investor protections therefore matter as much as the label 'perpetual'.

Why it matters

This is a meaningful market-structure development, not simply a new trading screen. Perpetuals can provide continuous hedging and price discovery, but they can also transmit leverage and liquidation pressure quickly when a market moves. Bringing them into a registered venue puts surveillance, margin and disclosure under a clearer US framework.

The overlap with crypto is practical: a trading format developed at scale in digital assets is being applied to stocks. That may increase institutional distribution of the product, while also making the quality of risk controls and customer suitability more important.

What to watch

- Which exchanges list products first and the exact margin, position-limit and funding-rate rules.
- How brokers and clearing arrangements handle customer access, collateral and liquidation protections.
- Whether equity perpetual volumes draw activity from listed options, CFDs or offshore crypto-style venues.

4. Circle's results show the stablecoin business balancing reserve yield, distribution costs and onchain activity

Circle Investor Relations · November 4, 2026
Circle Reports Third Quarter 2026 Results

The story

Circle reported third-quarter total revenue and reserve income of $865 million, up 17% year over year, according to its earnings release. Average USDC in circulation was $73.3 billion, while the company reported $13.9 trillion of USDC onchain transaction volume. Reserve income declined as the reserve return rate fell, partly offset by higher average circulation.

The result illustrates a basic stablecoin issuer trade-off. Interest earned on reserve assets can be substantial, but it varies with short-term rates and must be shared through distribution arrangements. At the same time, payments, platform adoption and tokenized-asset activity can create other revenue lines that are less tied to interest rates but carry execution risk.

Why it matters

Stablecoins are becoming a financial-infrastructure business rather than only a crypto-trading tool. Readers should separate the amount of coins outstanding, the yield earned on reserves, the distribution costs paid to partners, and actual payment or application usage. Each tells a different part of the earnings story.

A falling reserve return rate tests whether fee-based and platform revenue can take a larger role. That is relevant to valuation because it changes the mix from rate-sensitive income

toward revenue tied to institutional distribution and network adoption.

What to watch

- USDC circulation, reserve yield and revenue less distribution costs in subsequent results.
- Adoption and operating performance of Arc, including institutional use cases and governance execution.
- Changes in interest rates, stablecoin rules and competitive yields offered by other digital-dollar products.

Professional terms

capital expenditure	cost of capital
forward sale agreement	mandatory convertible preferred stock
at-the-market offering (ATM)	share dilution
free cash flow	operating leverage
supply-chain bottleneck	commissioning
interconnection	perpetual futures
funding rate	margin requirement
liquidation mechanism	price discovery
reserve yield	distribution cost
institutional distribution	tokenized assets

Today's big picture

The AI race is no longer judged only by model capability or chip supply. Funding mix, power delivery, construction execution and community commitments increasingly determine how much usable compute actually reaches customers and what it costs to provide.

Crypto market structure is moving toward more familiar financial plumbing. The important questions are the mechanics behind the product: collateral, funding, clearing, reserves, distribution costs and the rules that determine who bears risk when conditions change.